

EXAMPLE

Construction Company

So, when does a construction company or a real estate developer book its revenue? Here are the instances:

- ◇ When the construction of the project is complete
- ◇ When the real estate complex has been sold
- ◇ When the payment has been received
- ◇ When they hand over the project to the customer.

A company can have different accounting policies for different line items. Apart from revenue, the company needs accounting policies for:

- ◇ When a company accounts for the cost.
- ◇ When they account for rent
- ◇ How does a company account for investment in associates and joint ventures

and so on.

Each company has a set of rules that they use to enter number into their accounting system. These are clearly mentioned in the accounting policies of the company. It is mandatory for every company to disclose its accounting policies along with the financial numbers.